

Strategic and Enabling Priorities

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The Idea in Brief

- **Strategy-to-Execution Bridge:** Strategic and Enabling Priorities transform strategic choices into actionable plans with clear ownership, timelines, and resources, marking the critical transition from "what to do" to "how to do it" in organizational execution.
- **Dual-Track Approach:** Strategic Priorities directly advance market positioning and competitive advantage, while Enabling Priorities build the internal capabilities needed to support strategic success - both are essential and deeply interconnected for sustainable execution.
- **Three Horizons Framework:** Successful organizations simultaneously defend core business (Horizon 1: 60-70% resources), scale emerging opportunities (Horizon 2: 10-20% resources), and explore future options (Horizon 3: 5-10% resources) to balance current performance with long-term growth.
- **Disciplined Focus Through Strategic Trade-offs:** Effective priority setting requires explicitly defining what you will NOT do - both activities to stop and opportunities to reject - ensuring organizational resources concentrate on addressable high-impact options rather than dispersing across attractive but unwinnable initiatives.

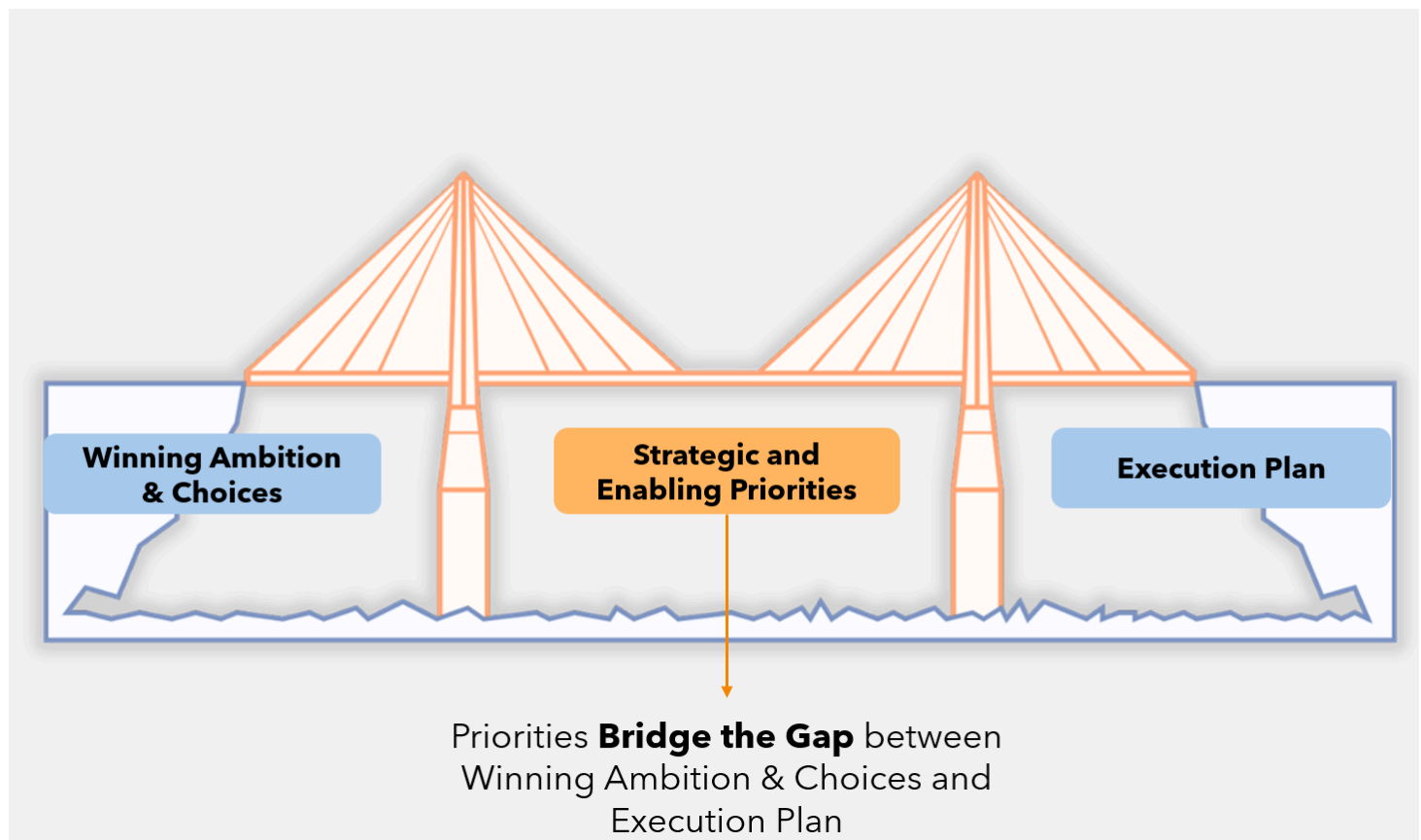
What They Are and Why They Are Important

Welcome to our chapter on Strategic and Enabling Priorities, a pivotal component of the Strategy in Action Canvas that marks our transition from Strategy formulation to execution. At this point in your strategic journey, you have already established the fundamental elements of your strategy through the earlier components of the Canvas.

From Strategy Definition to Strategic Execution

By now, you have developed your strategy's guiding policies through the previous Canvas components:

- **Winning Ambition:** Your clear aspirational statement of what success looks like
- **Playing Field (Where to Play):** Your explicit "From-To" choices about which markets, segments, and geographies you will focus on
- **Value Proposition (How to Win):** Your defined "From-To" choices about how you will create superior value for customers and differentiate from competitors
- **Operating Model (How to Play):** Your articulated "From-To" choices about how you will configure your organisation, capabilities, and resources to deliver your value proposition



These guiding policies represent clear strategic choices – they define your strategic direction and the fundamental trade-offs you have made. However, they do not yet constitute an executable plan. They lack the essential elements of implementation: specific sequencing in time, breakdown into actionable components, clear ownership and accountability, and detailed resource allocation.

This is where Strategic and Enabling Priorities become absolutely critical. With this module, we enter the "Execution" area of the Strategy in Action Canvas, where our output transforms from strategic choices into a strategic plan that can be executed, monitored, and adapted over time.

What Are Strategic and Enabling Priorities?

Priorities represent the highest level of strategic planning and constitute distinct units of organisational action. Think of them as distinct but inter-connected **Plans**. Some organisations call them strategic initiatives, others refer to them as programmes, but regardless of terminology, effective Strategic and Enabling Priorities must possess several essential characteristics:



- **A direct link to a specific challenge which the priority will address.** A challenge can be any of the following: an **opportunity** (or a cluster of opportunities), a **Threat** (or a cluster of Threats), or a critical **gap in capabilities**.
- **Clear Description of what the action will be:** Each priority must articulate as precisely as possible what the action will consist of and what **outcomes** and **impact** the organisation can

expect from executing it. This goes beyond high-level aspirations to specify concrete activities and deliverables.

- **Specific Objectives and Time Horizons:** Priorities must include specific **objectives** over defined planning horizons, typically spanning one to five years depending on the nature of the priority.
- **Clear Ownership:** Each priority requires a designated owner within the business who is accountable for its successful execution and empowered to make necessary decisions.
- **Resource Requirements:** Priorities must include realistic estimations of resource requirements, encompassing both capital investments (CAPEX) and operational expenses (OPEX) needed for successful execution.

Without these elements, priorities remain good intentions rather than executable strategic actions. This does not mean creating detailed five-year project plans, which would be difficult and mostly wasted effort. Instead, it means achieving sufficient clarity to define each priority enough that somebody in the organisation can own it and convert it into an even more operational and executable plan in subsequent modules (such as the Operating Plan). For example, a large client delivering pest control services on a very large territory, had defined the following strategic choice in their **Operating Model**:

- **From** "A slow, dispersed, ineffective and inefficient delivery of support from the central team to local branches"
- **To** "focusing the activity of the Central team exclusively on the delivery of those shared services where we can achieve economies of scale and deliver "best in class" level of service: 1) supply chain and logistics, 2) data-driven lead generation and conversion services, and 3) training."

They then defined an **Enabling Priority** called "**Develop the *brandX* Corporate Training Academy,**" describing it as including "5 physical training facilities in each of the main markets, training delivered by the best internal technicians, and including centralised assurance of learning and continuous post-training verification of service quality." They have identified the best internal owner as well as the need of leveraging a consulting agency to support. They have defined the expected level of impact on critical measures of their winning Ambition, such as the avg. number of hours of completed training per year per service operator, as well as client NPS. they have estimated the budget required and staffed a team to own the priority. They have estimate a minimum of 18 months for the priority to start delivering results, and 24 months to be completed. This level of specificity provides clear direction while leaving detailed implementation planning for later stages.

Strategic Priorities vs Enabling Priorities

We distinguish between two fundamental classes of priorities, each serving different but complementary roles in strategic execution:

Strategic Priorities are actions, or plans, that directly advance your strategic positioning in the marketplace. They focus on implementing your "Where to Play" and "How to Win" choices, creating value for customers, and building competitive advantages. Strategic Priorities are the primary drivers of your business results and strategic objectives.

Enabling Priorities are actions, or plans, that build or transform the organisational capabilities needed to support your Strategic Priorities. They focus on implementing your "How to Play" choices by developing the internal foundations required for strategic success. Without adequate Enabling Priorities, even the most brilliant Strategic Priorities will fail due to organisational incapacity.



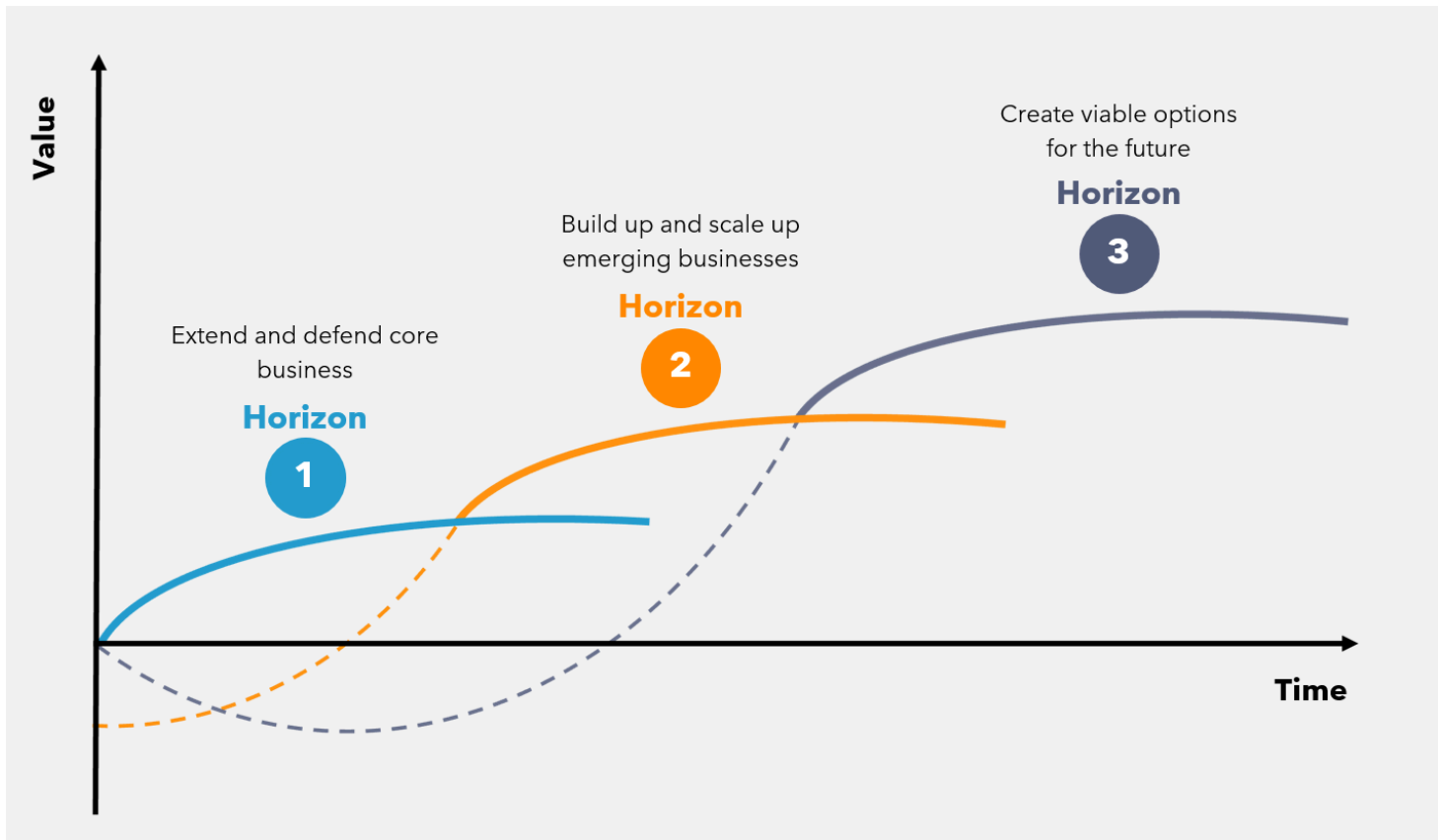
The critical insight is that Strategic and Enabling Priorities are deeply interconnected. Your Strategic Priorities should inform which Enabling Priorities you need to develop, whilst your current organisational capabilities should influence which Strategic Priorities are realistic to pursue.

The Three Horizons Framework for Strategic Priorities

Strategic Priorities are most effectively structured using the Three Horizons Model, which provides a balanced approach to managing your organisation's growth across different time horizons and risk profiles:

This framework was developed through comprehensive research of 30 companies from diverse industries and geographies that demonstrated sustained above-average growth for 10-15 years, achieving an average of 23% annual sales growth and 29% annual returns to shareholders - proving that organisations can indeed renew themselves and grow consistently over extended periods of time.

At its essence, the Three Horizons Model recognises that sustainable growth requires organisations to simultaneously optimise current performance while systematically building future competitive advantages - balancing the certainty of today's cash flows with the uncertainty of tomorrow's opportunities.



Horizon 1: Defend and Extend the Core Business

These priorities focus on maintaining and strengthening your current competitive positions within your established Playing Field. They protect existing revenue streams whilst finding ways to grow them through market share gains, operational improvements, or adjacent expansions. Horizon 1 priorities typically represent the largest portion of your resource allocation and generate the cash flow needed to fund future growth.

When Michael Eisner became CEO of Disney in 1984, the company's Horizon 1 priorities focused on revitalising their two core cash-generating businesses. In theme parks, Disney had allowed their core business to atrophy – few new attractions had been added, attendance was falling, and admission prices had risen by only 1% in real terms over a decade despite the potential for significant revenue increases. In film production, Disney had fallen to the lowest market share among the seven major

studios by 1979, having failed to release a successful animated feature in years and producing far fewer films than industry averages. Eisner's turnaround strategy concentrated on defending and extending these core Horizon 1 engines through operational improvements, pricing optimisation, and renewed creative focus.

The specific actions Eisner implemented in Horizon 1 included: **Theme Parks** - implementing aggressive pricing strategies that captured the parks' true value (recognising Disney had been underpricing their premium experience), adding new attractions to reverse years of stagnation, and improving operational efficiency throughout the parks. **Film Production** - applying the "high-concept" strategy he had developed at Paramount, focusing on strong storylines and broad audience appeal without expensive movie stars or directors, revitalising the animation division which had been nearly shut down, and implementing systematic cost management while maintaining creative quality. These focused improvements to core operations generated the cash flow needed to fund Disney's Horizon 2 and 3 investments while reestablishing their competitive position in both businesses.

Horizon 2: Scale Up Emerging Opportunities

These priorities focus on growing nascent business areas that have already demonstrated market traction and align with your strategic choices. They involve taking emerging successes within or adjacent to your defined Playing Field and scaling them into significant revenue contributors. Horizon 2 priorities typically carry moderate risk but offer substantial growth potential.

In contrast to their Horizon 1 focus, Disney's Horizon 2 portfolio in 1984 was significantly underdeveloped. The company had launched the Touchstone film production company to target young adult audiences beyond their traditional family market, and talks were underway to develop a European theme park (which would eventually become Disneyland Paris). However, Disney was struggling in the emerging video market and the Disney Channel was losing money. This weak Horizon 2 pipeline demonstrated how few new businesses were being built to bridge the gap between their declining core businesses and future growth opportunities – a critical vulnerability that Eisner's turnaround strategy needed to address. Under Eisner's leadership, Disney systematically built a robust Horizon 2 portfolio through rapid experimentation and scaling of successful new business models. The most notable success was the Disney Store, launched in 1987 when Steve Burke, Disney's head of business development, identified retail as a growth opportunity through an employee competition. Starting with just USD400,000 in development capital, Disney opened their first store in Glendale, California in March 1987, which exceeded expectations by delivering sales per square foot three to four times higher than average specialist stores. Through active adaptation and rapid scaling, Disney grew from one store to nearly 100 stores across the US by 1990, eventually expanding to over 600 stores globally by 1996, contributing 7% of total company revenue. This approach of building new staircases from successful experiments became Disney's systematic approach to Horizon 2 development, spawning multiple new business lines from their core entertainment capabilities.

Horizon 3: Fuel Future Growth

These priorities involve exploration and investment in new capabilities and market positions that may become important for long-term success. They represent strategic options within your broader strategic scope, preparing your organisation for future market evolution. While Horizon 3 priorities carry higher risk, they are essential for ensuring strategic renewal and avoiding obsolescence.

Disney's Horizon 3 portfolio during the Eisner era demonstrated systematic exploration of strategic options that leveraged their core entertainment capabilities but entered entirely new market spaces. Building from their successful theme park foundation, Disney ventured into developing planned communities - creating spotlessly clean and secure neighborhoods with all amenities - exemplified by Celebration, Florida, launched just outside Orlando in the 1990s. This represented a fundamental expansion of Disney's brand promise from entertainment experiences into lifestyle and community development. Even more ambitious was Disney's 1998 entry into the cruise line industry, creating Disney Cruise Line as a completely new business model that combined their entertainment and hospitality expertise with maritime operations. These Horizon 3 initiatives required substantial learning investments in unfamiliar industries (real estate development and cruise operations), carried significant execution risks, and demanded new operational capabilities. However, they also created strategic options that could potentially open entirely new growth trajectories while remaining consistent with Disney's core brand promise of delivering magical experiences to families. These ventures demonstrated Disney's systematic approach to Horizon 3 development: identifying adjacencies that leveraged their unique capabilities while exploring fundamentally new business models that could drive future growth.

Resource Allocation Across the Horizons

While the Three Horizons framework calls for simultaneous deployment of priorities across all three horizons, it also suggests a differential allocation of resources to manage the risk of dispersion of focus and resources, which increases going from H1 to H3. Effective application of the Three Horizons framework requires deliberate resource allocation decisions that balance present performance with future growth investments. Based on research, successful growth companies typically allocate resources across the three horizons as follows:

- **Horizon 1: 60-70% of Total Resources**

This allocation reflects the need to maintain and defend current cash-generating businesses that fund the entire organisation. Horizon 1 requires the largest resource commitment because it generates the cash flow needed to invest in future growth while maintaining competitive positions in established markets. This substantial allocation enables organisations to maximise operational efficiency, defend market share, and extend current competitive advantages.

- **Horizon 2: 10-20% of Total Resources**

This moderate allocation enables systematic scaling of proven opportunities without overwhelming management attention or cash flow requirements. Horizon 2 investments require sufficient resources to build meaningful businesses while maintaining disciplined focus on initiatives with demonstrated market traction. This allocation balances the need for significant growth investment with the reality that emerging businesses require entrepreneurial capabilities and carry inherent scaling risks.

- **Horizon 3: 5-10% of Total Resources**

This relatively modest allocation reflects the exploratory nature of future option creation, where many experiments are expected to fail but a few may become breakthrough opportunities. Horizon 3 requires enough resources to maintain a robust portfolio of strategic options while recognising that most investments represent learning rather than near-term returns. This allocation ensures sustained innovation capability without compromising current performance or proven growth opportunities.

These allocation guidelines are not rigid formulas but rather strategic anchors that force explicit trade-offs between current performance and future growth, ensuring organisations simultaneously manage all three horizons effectively.

Horizons are Dynamic: The Innovation Funnel

The power of the Three Horizons framework lies not just in the initial plan and resource allocation, but in understanding that horizons function as an innovation funnel - a strategic progression where many small experiments in Horizon 3 are tested and refined, the most promising are scaled in Horizon 2, and the most successful eventually become core business drivers in Horizon 1. This dynamic progression can span decades, requiring patient capital and strategic persistence to realise the full potential of breakthrough innovations.

Disney's evolution in digital entertainment perfectly illustrates this innovation funnel in action over nearly four decades. In 1982, Disney made their first major Horizon 3 investment in digital technology with TRON, the world's first feature film to make extensive use of computer-generated imagery. At a cost of over USD20 million - an enormous sum for the time - TRON was a commercial disappointment, losing money at the box office and receiving mixed reviews. The technology wasn't ready, audiences weren't prepared, and the film was ahead of its time. Yet this early experiment provided Disney with crucial learning about digital animation and established relationships with pioneering computer graphics companies like MAGI and Digital Effects.

Two decades later, Disney moved into Horizon 2 by rapidly scaling digital animation capabilities through strategic acquisitions. The most significant was the January 2006 acquisition of Pixar Animation Studios for USD7.4 billion - at the time, one of the largest acquisitions in entertainment

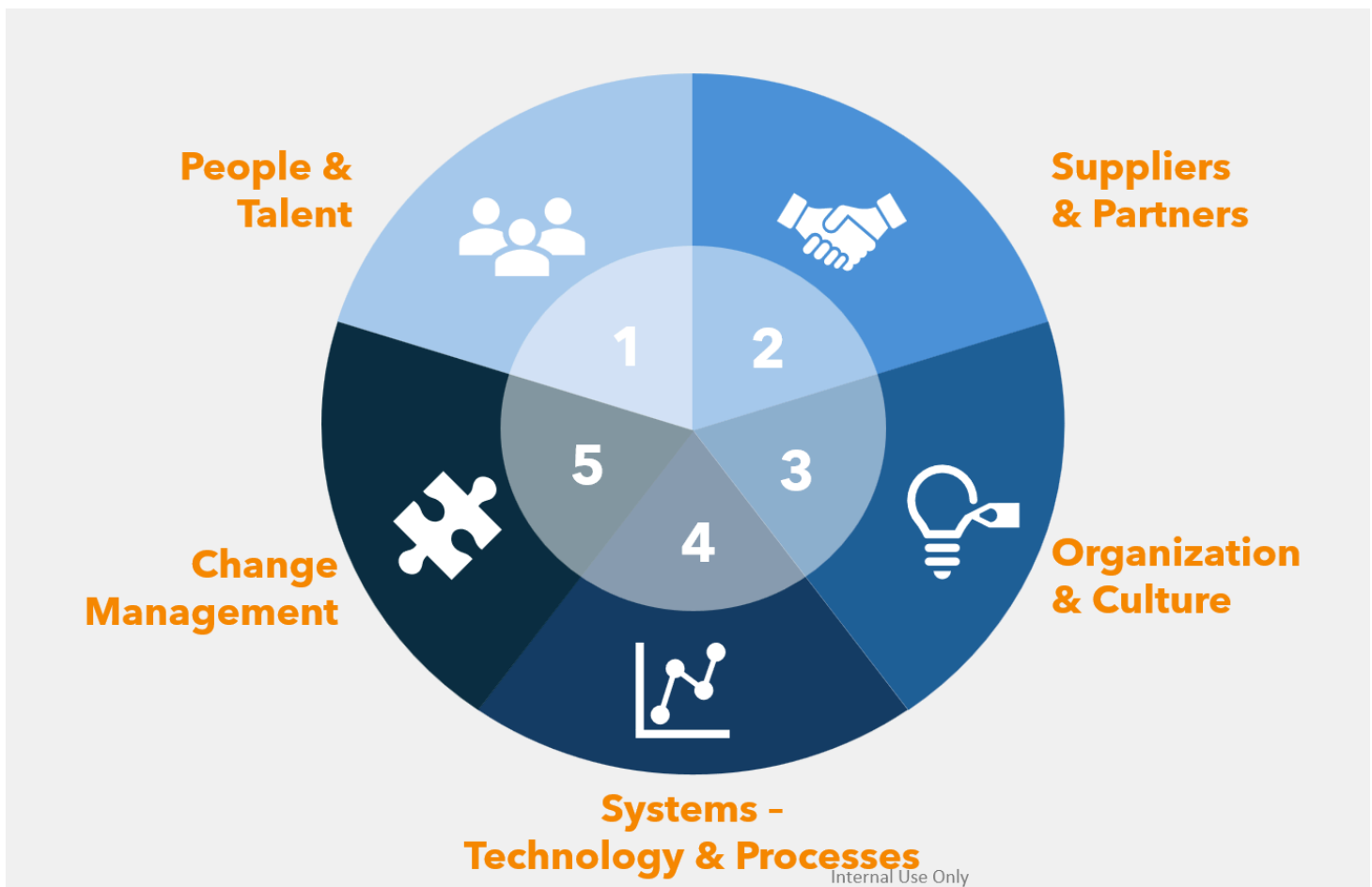
history. This wasn't just about content; it was about acquiring John Lasseter's creative leadership, Ed Catmull's technological expertise, and Pixar's proven ability to create digitally animated blockbusters like Toy Story, Finding Nemo, and The Incredibles. Disney also pursued other digital capabilities, including the acquisition of BAMTech Media in 2017 for USD2.58 billion to build streaming technology infrastructure.

By November 2019, Disney's digital strategy had evolved into Horizon 1 with the launch of Disney+, their direct-to-consumer streaming platform. Built on the foundation of decades of digital animation content (including the entire Pixar library acquired 13 years earlier) and powered by the streaming technology capabilities from BAMTech, Disney+ represented the culmination of nearly 40 years of patient strategic development. The platform achieved 10 million subscribers on its first day, exceeded 60 million subscribers within 11 months, and has become a core revenue driver for Disney, generating billions in annual subscription revenue. What began as a failed experiment with TRON in 1982 had evolved through careful Horizon 2 scaling into a fundamental Horizon 1 business by 2019.

This dynamic progression demonstrates that successful innovation often requires decades of patient investment, with initial Horizon 3 experiments providing learning that inform Horizon 2 scaling decisions, which eventually enable breakthrough Horizon 1 successes.

The Domains of Enabling Priorities

Enabling Priorities are organised across a few distinct essential domains that collectively build organisational capability:



People and Talent

This domain encompasses initiatives related to talent acquisition and development. It ensures you have the right people with the right skills in the right roles to execute your Strategic Priorities. This may involve upskilling existing staff, recruiting new talent, developing leadership capabilities, or fundamentally reorganising how work gets done to support your strategic choices.

Suppliers and Partners

This domain encompasses initiatives related to developing and optimising strategic relationships with external parties that are critical to your value delivery. It recognises that strategic execution increasingly depends on ecosystem capabilities beyond your organisational boundaries. These priorities may involve strengthening supplier relationships, developing strategic partnerships, building alliance capabilities, or creating new collaborative business models that enhance your competitive position and enable delivery of your Value Proposition.

Organisation and Culture

This domain includes initiatives that transform structure, governance, values, and behaviours to support your strategic direction. It recognises that strategy execution depends not just on individual capabilities but on how people work together. These priorities may involve organisational restructuring, cultural transformation, new governance mechanisms, performance management systems, geographic footprint optimisation, and location strategy decisions that reinforce your strategic choices.

Systems - Technology and Processes

This domain covers initiatives that develop the infrastructure and workflows that enable strategic execution. It includes technology platforms, business processes, data and analytics capabilities, and operational systems needed to deliver your Value Proposition effectively. These priorities ensure your organisation has the technical foundation to execute Strategic Priorities successfully.

Change Management

Your Enabling Priorities should also include, whenever necessary, clear choices about how to manage organisational change. You might choose a comprehensive transformation approach, where you redesign multiple organisational elements simultaneously. This approach creates maximum impact but carries higher risk.

Alternatively, you might pursue phased transformation, where you change organisational elements sequentially. This approach is less risky but may be too slow for competitive requirements.

Example: ING Bank's agile transformation illustrates change management strategy choice. They chose comprehensive transformation, simultaneously restructuring their organisation, implementing new technology platforms, and changing their culture to agile methodologies. While this created significant disruption, it enabled rapid competitive repositioning in digital banking.

Vehicle Selection

In defining your Strategic and Enabling Priorities, you must choose how to pursue specific growth opportunities as well as build new capabilities. This applies both for Strategic and Enabling priorities. Your options include:

- Organic development, where you build capabilities and market positions internally. This approach takes longer but ensures complete control and cultural alignment.
- Acquisitions, where you purchase existing capabilities or market positions. This approach is faster but requires strong integration capabilities and carries higher risk.
- Joint ventures and strategic alliances, where you partner with others to pursue opportunities. This approach shares risk but also shares control and potential returns.
- Licensing arrangements, where you access capabilities or markets through intellectual property arrangements. This approach requires minimal investment but offers limited strategic control.

The choice criteria include capability gaps versus market opportunities, speed requirements, resource availability, integration complexity, and risk tolerance.

Example: Pfizer's COVID-19 vaccine development illustrates growth vehicle selection. Rather than purely organic development, they chose a strategic alliance with BioNTech, combining Pfizer's

manufacturing and regulatory capabilities with BioNTech's mRNA technology. This partnership approach enabled faster market entry than organic development whilst sharing both risks and returns with their partner.

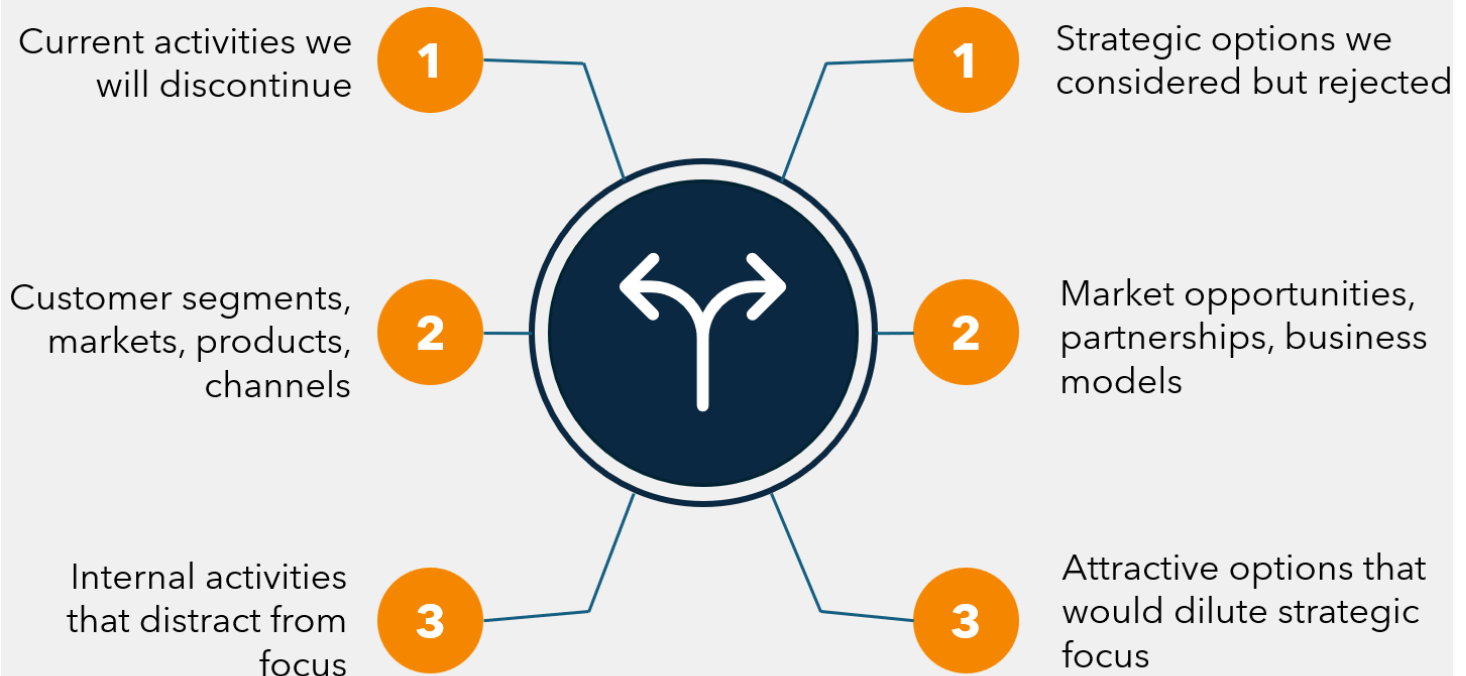
Amazon's 2009 acquisition of Zappos for USD847 million demonstrates acquisition strategy driven by capability building rather than market entry. Amazon was already selling shoes and apparel, so the acquisition wasn't about accessing new product categories. Instead, Jeff Bezos explicitly stated that Amazon was acquiring Zappos for its "customer obsession" and "totally unique culture" that had created legendary customer service capabilities. As Bezos noted, "I get all weak-kneed when I see a customer-obsessed company, and Zappos certainly is that... I think that kind of unique culture is a very significant asset." Amazon recognised that Zappos' customer service approach - including 24/7 phone support, free shipping both ways, 365-day return policies, and empowering customer service representatives to go to extraordinary lengths for customers - represented organisational capabilities that Amazon needed to strengthen its own customer experience, particularly in soft goods categories where customer service differentiation was more critical than in Amazon's traditional book and electronics businesses.

Defining What We Will NOT Do

Effective priority setting requires explicit discipline about what your organisation will deliberately NOT pursue. This is not about inadequate resources or temporary delays – it's about strategic choices to maintain focus and coherence. Drawing from the principle that "trade-offs are essential for sustainability," organisations must make conscious decisions about what they will stop doing, what opportunities they will pass up, and what activities they will avoid.

🚫 Stop Doing

🗑️ Deliberately discarded



Beyond committing to what you will do, it is critical to explicitly state, as part of your Strategic Plan, two essential categories of "what not to do" decisions:

1. Activities and Commitments We Will Stop Doing

These are current organisational activities, customer relationships, or business practices that must be discontinued to free up resources and maintain strategic focus. Making these decisions explicit prevents gradual drift back to old patterns and ensures everyone understands that these are permanent strategic choices, not temporary resource constraints.

Examples of "stop doing" decisions include:

- **Customer Segments:** Stop serving low-margin customer segments that don't align with your value proposition (e.g., a premium consulting firm stopping work with price-sensitive small businesses)
- **Geographic Markets:** Exit markets where you cannot achieve sustainable competitive advantage (e.g., a regional bank closing branches in distant markets where it lacks scale)
- **Product Lines:** Discontinue products that distract from core strategic focus (e.g., a software company stopping hardware sales to focus on platform development)
- **Distribution Channels:** Eliminate channels that conflict with your strategic positioning (e.g., a premium brand stopping discount retailer partnerships)

- **Service Offerings:** End services that don't reinforce your competitive advantage (e.g., an investment bank stopping routine transaction processing to focus on advisory services)
- **Operational Activities:** Cease internal activities that should be outsourced or eliminated (e.g., a technology company stopping in-house manufacturing to focus on design and innovation)

2. Strategic Options We Considered But Deliberately Discarded

These are strategic priorities that appeared attractive during your strategic planning process but were consciously rejected in favor of your chosen priorities. Documenting these discarded options prevents revisiting settled strategic questions and reminds everyone that these paths were explicitly evaluated and found wanting.

Examples of discarded strategic options include:

- **Market Entry Opportunities:** Geographic markets or customer segments that were attractive but would dilute strategic focus (e.g., "We considered entering the Asian market but decided to concentrate on achieving market leadership in North America first")
- **Channel Expansion:** Distribution channels that could generate revenue but would compromise positioning (e.g., "We evaluated direct-to-consumer sales but decided this would conflict with our partner channel strategy")
- **Acquisition Targets:** Companies that were financially attractive but didn't strengthen core capabilities (e.g., "We analysed acquiring Company X for revenue growth but determined it wouldn't enhance our competitive advantage in our chosen market")
- **Business Model Variations:** Alternative approaches to value creation that seemed promising but weren't optimal (e.g., "We explored a subscription model but decided transaction-based pricing better aligned with customer preferences and our cost structure")
- **Technology Platforms:** Systems or technologies that could provide capabilities but would scatter technical focus (e.g., "We considered building our own CRM platform but decided to focus development resources on our core product differentiation")
- **Partnership Structures:** Strategic alliances that appeared beneficial but carried unacceptable trade-offs (e.g., "We evaluated a joint venture with Competitor Y but determined it would compromise our independent strategic positioning")

By explicitly documenting both categories in your Strategic Plan, you create organisational memory that prevents strategic drift and ensures sustained focus on your chosen priorities. This discipline is particularly important during execution when pressure mounts to pursue "just one more opportunity" or when stakeholders question why certain attractive options aren't being pursued.

Example: Netflix's strategic rigour in the streaming transition demonstrates powerful "what not to do" decisions. They explicitly chose NOT to defend their DVD-by-mail business aggressively, NOT to

pursue multiple value proposition simultaneously, and NOT to compete in the traditional broadcast television space. They also documented strategic options they had considered but discarded, such as becoming a content aggregator for other streaming services, pursuing live television broadcasting, or maintaining a hybrid DVD-streaming business model. These disciplined choices, both what to stop doing and what options to reject, allowed them to concentrate resources on building streaming capabilities and original content production, creating a defensible competitive position.

Strategic Priority Identification and Selection - An Options-Based Approach

The process of identifying and selecting Strategic and Enabling Priorities requires a systematic methodology that moves beyond wishful thinking and aspirational goal-setting toward addressable, high-impact actions. This section provides a proven approach for transforming the complexities of strategic analysis into focused, executable priorities. This approach consists in a 2-step choice: first choose the challenges (Options) to address, then choose the action to do it, and plan it, at least at high-level, stating clearly the assumptions and hypotheses for success.

The fundamental insight is that effective Strategic Priorities must be grounded in "Addressable Strategic Options" (ASOs) - options that simultaneously pass the dual tests of critical importance and realistic addressability. This approach ensures that your priorities concentrate organisational power on options you can actually pursue, rather than dispersing resources across multiple initiatives that cannot be effectively executed simultaneously.



Step 1: Option Identification from Strategic Analysis

The first step involves systematically identifying strategic options by mining the insights from your Playing Field, Value Proposition, and Operating Model analyses.

Opportunities as Strategic Options

Each significant opportunity identified in your Playing Field analysis represents a potential strategic option requiring focused action. The question becomes: "What must we do to capture this opportunity?" rather than simply "Should we pursue this opportunity?"

For example, if your Playing Field analysis identified "expansion into digital-native customer segments" as a key opportunity, the strategic option becomes: "How do we build the capabilities, value propositions, and operating model changes needed to successfully compete for digital-native customers while protecting our position with traditional customers?"

Threats as Strategic Options

Similarly, each critical threat identified in your Playing Field analysis represents a defensive option requiring strategic response. The question becomes: "What must we do to neutralise or mitigate this threat while continuing to advance our strategic objectives?"

For example, if your Playing Field analysis identified "new digital competitors with lower cost structures" as a key threat, the strategic option becomes: "How do we respond to digital competition in ways that strengthen rather than compromise our competitive position?"

Capability Gaps as Strategic Options

Your Value Proposition and Operating Model analyses will have revealed gaps between your current capabilities and those required to deliver your strategic choices effectively. Each significant gap represents an enabling option that must be addressed.

For example, if your Operating Model analysis revealed that "lack of real-time customer data integration across touchpoints" limits your ability to deliver personalised experiences, the strategic option becomes: "How do we build integrated customer data capabilities that enable personalised experiences while maintaining data security and customer trust?"

Step 2: Option Assessment - Importance and Addressability Analysis

Once you have identified potential strategic options, you must evaluate each one using Rumelt's dual criteria: importance and addressability. This evaluation process prevents the common strategic error of pursuing options that are either insufficiently important to matter or insufficiently addressable to succeed.

Assessing Importance

An option's importance is measured by the degree to which it strikes at vital interests - either threatening the basis of your organisation's current strategy or representing a major opportunity for value creation. Important options typically exhibit several characteristics:

- **Scale:** The opportunity or threat has significant revenue, cost, or competitive implications
- **Criticality:** Failure to address the option threatens core business performance or strategic objectives
- **Timing:** The option requires action within your strategic planning horizon to remain viable
- **Strategic Coherence:** The option directly relates to your "From-To" strategic choices rather than representing a strategic distraction

Assessing Addressability

An option's addressability depends on your organisation's realistic capacity to pursue it given your current strengths, weaknesses, resources, and time constraints. Addressable options typically exhibit several characteristics:

- **Capability Alignment:** You possess or can realistically acquire the core capabilities needed to address the option
- **Resource Viability:** The option can be addressed within realistic resource constraints (financial, human, technological)
- **Competitive Position:** You have or can build a "right to win" in the competitive arena where this option must be addressed
- **Organisational Readiness:** Your organisation has or can develop the change capability needed to implement required actions
- **External Dependencies:** Critical external factors (regulations, partnerships, market conditions) support rather than prevent progress

A critical source of insight to assess the addressability is the analysis of strengths and weaknesses both in the Value Proposition and Operating Model; an option is certainly more addressable if we already possess all the strengths required to pursue it. **In practical terms, determining importance and addressability is an exercise in *connecting the dots* among all the insights surfaced by your external and internal diagnostics of the current situation.**

Step 3: Choice of Strategic and Enabling Priorities

After evaluating all potential options on importance and addressability, plot them on an importance-addressability matrix" This visual mapping reveals which options qualify as Strategic and Enabling Priorities.

True Priorities typically exhibit the following characteristics:

- **High Importance:** The option significantly impacts strategic success
- **High Addressability:** The organisation can realistically pursue the option with focused effort
- **Strategic Interconnection:** The option connects to or enables progress on other important options
- **Resource Proportionality:** The option can be addressed without overwhelming organisational capacity

Once you have identified your priorities, allocate them across the Three Horizons framework based on their risk profiles, addressability levels, and the expected time-to-impact. This allocation process requires nuanced judgment about how to handle options with different addressability profiles.

Options that score highly on both importance and addressability naturally become immediate candidates for Horizon 1 and 2 priorities, where you can apply focused resources with confidence in your ability to execute successfully.

However, it would be a strategic error to automatically exclude all options with currently low addressability. Low addressability is often a temporary condition rather than a permanent limitation, frequently resulting from gaps in organisational knowledge, expertise, or experience in specific domains rather than fundamental incapacity. The key distinction is between options that are inherently unaddressable given your strategic architecture and those that are currently unaddressable due to capability or knowledge limitations.

Highly important options that exhibit low current addressability can become valuable Horizon 3 priorities, where the strategic objective shifts from immediate execution to systematic exploration and learning. In this context, the organisation launches small-scale, inexpensive experiments designed to investigate the option's true addressability potential. These experimental priorities serve multiple strategic purposes: they build organisational knowledge in unfamiliar domains, test assumptions about market opportunities or technological feasibility, develop initial capabilities that might unlock future addressability, and maintain strategic optionality in important areas where current limitations may be temporary.

Through this approach, Horizon 3 becomes a strategic vehicle for transforming highly important but currently unaddressable options into future addressable opportunities. Small investments in exploration can often reveal that what appeared unaddressable was simply unfamiliar, while also building the organisational capabilities needed to pursue these options more aggressively in future planning cycles. This allocation ensures balanced resource deployment while maintaining focus on your most critical and currently addressable options, whilst systematically building future addressability in strategically important domains.

Step 4: Impact-Effort assessment

At this stage, it is very common to find that your initial priority identification process has generated more priorities than your organisation can realistically execute concurrently. This is a natural outcome of thorough strategic analysis, but it requires a final refinement step to avoid clogging your organisation with too many simultaneous initiatives that compete for resources and management attention.

Impact-Effort Analysis

Before finalising your priority portfolio, conduct a more detailed impact-effort analysis on each identified priority. This involves:

- **Expected Return Estimation:** Quantify the expected strategic and financial returns for each priority, using metrics appropriate to your organisation (revenue growth, market share gains, cost savings, capability improvements, risk mitigation value)

- **Resource Requirement Assessment:** Estimate the total effort and resources required for each priority, including human capital, financial investment, technology needs, and management attention
- **Time-to-Impact Analysis:** Assess how long each priority will take to deliver meaningful results, considering both implementation time and market response delays

This impact-effort analysis represents a significantly more quantitative and detailed assessment compared to the earlier importance-addressability evaluation. While the previous assessment relied primarily on strategic judgment to identify qualified priorities, this phase requires precise financial modeling, resource calculations, and timeline projections that demand considerably more time and analytical rigor. However, this investment in detailed analysis is strategically justified at this stage because you have already filtered your priority universe through the importance-addressability criteria, eliminating numerous options that would not warrant this level of analytical investment. By conducting this intensive quantitative assessment only on pre-qualified priorities, you optimise the allocation of analytical resources while ensuring that your final priority selection is grounded in robust financial and operational projections.

Based on this analysis, you have several options for managing your priority portfolio:

Sequential Execution: Plan high-impact, high-effort priorities in sequence rather than concurrently, allowing you to concentrate resources and learning on one major initiative at a time while maintaining momentum through smaller concurrent priorities.

Temporary Freezing: Place some priorities on hold (not forgotten) until your organisation develops greater capacity or until current priorities create the foundation needed for future initiatives. Establish clear criteria for when frozen priorities should be reactivated.

Phased Implementation: Break complex priorities into phases, allowing you to begin implementation while managing resource demands and risk exposure over time.

The depth and nature of the constraints depends on your total available resources and how you have allocated them across the three horizons - with organisations dedicating more resources to core business operations typically having less capacity for concurrent scaling and innovation priorities.

You might choose to heavily weight your current core business, focusing most resources on Horizon 1 initiatives. This approach maximises short-term performance but may leave you vulnerable to future disruption.

Alternatively, you could pursue a balanced approach, distributing resources fairly evenly across all three horizons. This provides stability whilst building for the future but may not create the focused power needed for breakthrough results.

Or you might choose aggressive investment in future opportunities, heavily weighting Horizon 3 initiatives. This positions you for long-term success but may compromise short-term performance.

The optimal allocation depends on several factors: your current business performance and competitive position, market maturity and growth prospects, available investment capital, and your organisation's capability to manage multiple horizons simultaneously.

Example: Intel's strategic evolution demonstrates horizon allocation choices. During the 1990s, they heavily weighted Horizon 1 (microprocessors), which maximised profitability but left them vulnerable to mobile computing trends. Under Pat Gelsinger's leadership, Intel has shifted to more balanced allocation, maintaining processor leadership (Horizon 1) whilst building foundry services (Horizon 2) and investing heavily in AI chips and quantum computing (Horizon 3). Importantly, Intel has sequenced these initiatives carefully, avoiding the temptation to pursue all opportunities simultaneously, instead building capabilities systematically to support their multi-horizon strategy.

Example: Nvidia's AI chip investments demonstrate investment timing. They began investing heavily in AI-optimised chips and software in the early 2010s, well before the current AI boom. This early investment timing enabled them to capture dominant market position when AI demand exploded, though it required sustaining investments through uncertain periods.

Continuous Adaptation and Learning Through Strategic Hypothesis Testing

The process of estimating importance, addressability, impact, and effort for your Strategic and Enabling Priorities inherently involves a high degree of uncertainty. Unlike operational planning, where historical data provides reliable predictive power, strategic priority setting requires making assessments about future market conditions, competitive responses, customer behaviour, and organisational capabilities that cannot be known with certainty at the time of planning. This uncertainty is not a flaw in the process but rather an inherent characteristic of strategic decision-making under conditions of change and competitive dynamics.

Given this reality, the approach to priority assessment should be conceived as a **"reverse engineering of what would have to be true"** rather than a prediction of what will happen. Each priority assessment should explicitly state the key hypotheses and assumptions underlying your estimates of importance, addressability, impact, and effort. This approach transforms priority setting from aspirational goal-setting into a structured process of strategic hypothesis formation and testing.

Rather than treating these assessments as fixed predictions, build systematic mechanisms for testing your underlying assumptions throughout the execution process. This creates a learning-oriented approach to strategic execution where priorities evolve based on evidence rather than persisting despite contradictory data.

This hypothesis-driven approach ensures that your Strategic and Enabling Priorities remain dynamic and responsive to changing conditions while maintaining strategic coherence. By explicitly acknowledging uncertainty and building learning mechanisms into your priority management process, you create organisational capabilities for strategic adaptation that become sources of competitive advantage in uncertain environments.

Organisational Learning and Capability Development

Build mechanisms for continuously reassessing options, addressability, and priority performance through systematic collection and analysis of execution data. As options evolve and organisational capabilities develop through the execution of current priorities, some previously unaddressable options may become viable while others may prove less important than initially assessed, requiring continuous priority portfolio adjustments based on evidence rather than intuition.

This options-based approach to Strategic Priority identification and selection ensures that your organisation focuses its limited resources on options that are both critically important and realistically addressable. By grounding priorities in rigorous analysis rather than aspirational goals, you maximise the likelihood of strategic execution success while building organisational capability for sustained competitive advantage.

Top-Down versus Bottom-Up Implementation

You can choose to implement priorities through top-down strategic transformation, where senior leadership drives change throughout the organisation. This approach ensures alignment but may encounter resistance.

Alternatively, you might pursue bottom-up experimentation and learning, where initiatives emerge from operational levels. This approach builds engagement but may lack strategic coherence.

A hybrid approach combines elements of both, using top-down strategic direction with bottom-up innovation and learning.

Example: Haier's RenDanHeYi model demonstrates bottom-up implementation choice. Rather than top-down strategic directives, they transformed into thousands of small, autonomous units that identify and pursue their own market opportunities. This approach has created high engagement and innovation, though it requires sophisticated coordination mechanisms to maintain strategic coherence.

Existing Initiative Inventory and Assessment

Before developing new Strategic and Enabling Priorities, organisations must first conduct a comprehensive inventory and assessment of all current initiatives, projects, and priorities already

running within the organisation. This diagnostic phase is critical because most organisations are already executing multiple initiatives that may be consuming significant resources while potentially conflicting with or duplicating the strategic priorities you are developing.

first, create a comprehensive map of all current organisational initiatives, regardless of size, scope, or formal designation. This inventory should capture:

Initiative Identification

- **Initiative Name and Description:** Clear description of what each initiative entails
- **Current Status:** Active, on hold, planning phase, implementation phase, or completion phase
- **Ownership and Accountability:** Who owns and is accountable for each initiative
- **Resource Allocation:** Current human capital, financial investment, and management attention devoted to each initiative
- **Time Horizon:** Expected duration and key milestones for each initiative
- **Strategic Rationale:** Original business case or strategic justification for the initiative

Organisational Scope

Ensure the inventory captures initiatives across all organisational levels and functions:

- **Enterprise-level initiatives:** Major transformation programs, acquisitions, or strategic pivots
- **Business unit initiatives:** Market entry, product development, or operational improvement programs
- **Functional initiatives:** Technology implementations, process improvements, or capability development programs
- **Team-level initiatives:** Local optimisation efforts, pilot programs, or experimental projects

For each existing initiative identified in your inventory, apply the same analytical framework used for developing new priorities: Importance Vs Addressability and Impact Vs Effort.

Finally, based on your assessment, make explicit decisions about each existing initiative using four strategic options:

KEEP (Continue as Currently Configured)

- **Criteria:** High strategic importance, high addressability, significant expected impact, and reasonable resource requirements
- **Action:** Maintain current resource allocation and management attention
- **Integration:** Incorporate these initiatives into your new Strategic and Enabling Priority portfolio as they are already validated and resourced

STOP (Discontinue Completely)

- **Criteria:** Low strategic importance, poor alignment with "From-To" choices, or prohibitive resource requirements relative to expected impact
- **Action:** Discontinue the initiative and reallocate resources to higher-priority strategic options
- **Rationale:** Resource liberation for more strategically important priorities while eliminating organisational distraction

DO MORE (Scale Up Investment)

- **Criteria:** High strategic importance and impact but currently under-resourced relative to strategic potential
- **Action:** Increase resource allocation, management attention, or implementation pace
- **Integration:** Elevate these initiatives to top-tier Strategic or Enabling Priorities with enhanced resource commitment

ADAPT AND CHANGE (Modify Scope, Approach, or Objectives)

- **Criteria:** Moderate strategic importance with potential for higher impact through scope modification, approach changes, or objective refinement
- **Action:** Redesign the initiative to better align with strategic priorities while maintaining core valuable elements
- **Integration:** Transform these initiatives into more strategically coherent priorities through focused modification

Resource Liberation and Reallocation

Calculate the total resources (human capital, financial investment, management attention) freed up through STOP decisions and factor these into your resource allocation for new Strategic and Enabling Priorities. This resource liberation often reveals significant capacity for pursuing additional strategic options that were previously considered unaddressable due to resource constraints.

Portfolio Coherence

Ensure that the combination of KEEP, DO MORE, and ADAPT initiatives creates a coherent portfolio that supports rather than competes with your new Strategic and Enabling Priorities. Identify and resolve potential conflicts in resource allocation, management attention, or strategic direction between existing and new initiatives.

Implementation Sequencing

Determine the optimal timing for implementing your decisions, particularly for STOP and ADAPT initiatives which may require careful change management to avoid organisational disruption or stakeholder resistance.

This systematic assessment of existing initiatives ensures that your new Strategic and Enabling Priority portfolio builds on organisational strengths while eliminating strategic distractions and resource misallocation. By making explicit decisions about current initiatives before developing new priorities, you create the organisational capacity and strategic focus needed for effective priority execution.